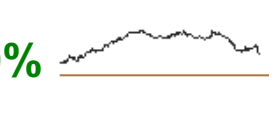

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Transcript : Hermès International Société en commandite par actions, Q3 2025 Sales/ Trading Statement Call, Oct 22, 2025

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Operator

Ladies and gentlemen, welcome to the Q3 Analyst Conference for HermÃ¨s International. I now yield the floor to Eric du HalgouÃ«t, CFO; and Antoine Riou, Head of Investor Relations. Gentlemen, over to you.

Eric du Halgouët *Executive VP of Finance*

Thank you very much. Good morning, one and all. Thank you very much for joining us. In the third quarter, sales continued to grow and reached EUR 3.9 billion, up 10% at constant exchange rate, a slight improvement compared to Q2, particularly in Europe, Americas and Asia. HermÃ¨s kept the course, thanks to solid growth in spite of a high comparison basis. Indeed, Q3 sales last year were slightly above that of Q2. The group's consolidated revenue amounted to EUR 11.9 billion at the end of September 2025, up 9% at constant exchange rates and 6% at current exchange rates.

Currency fluctuations represented a negative impact of EUR 254 million on revenue. At the end of September 2025, the Leather Goods and Saddlery and the Other HermÃ¨s sectors achieved solid growth. The Ready-to-wear and Accessories and Silk and Textiles sectors accelerated in Q3. HermÃ¨s is maintaining its course, thanks to solid growth, thanks to our investment, thanks to our creation of jobs to support our growth. For 2025, our outlook remains unchanged. The group confirms its ambitious growth target for revenue at constant exchange rate and continues to grow with confidence.

Over to Antoine for the geographical and mÃ©tier breakdown.

Antoine Riou *Head of Investor Relations*

Good morning, one and all. Moving to the geographical breakdown and the evaluations will be given at constant exchange rate. As Eric mentioned, at the end of September 2025, all the regions posted growth. First of all, Asia, excluding Japan, is at plus 4%. With strong growth in Greater China in the third quarter, the region benefited from the house's value strategy, the loyalty of local clients and the qualitative development of the network. The renovated and expanded store at the Central Embassy mall in Bangkok reopened in January, followed by the Taichung store in Taiwan at the end of March. In June, the renovated and expanded Four Seasons store in Macau reopened its doors, followed by the Galleria mall store in Seoul in August.

Japan, plus 15% after a solid Q3, maintained a sustained growth, driven by the loyalty of local clients. Americas plus 13%, still a strong momentum with a slight acceleration in Q3, thanks to the U.S. The new Scottsdale store in Arizona opened in September, and then we had Nashville in Tennessee last week. In Mexico, the MoliÃ¨re store reopened in early October after renovation and expansion work.

Europe, bar France is at plus 12%. So solid growth there in all the countries of the region. France, plus 9% with still strong activity in all the stores. In Italy, the Florence store reopened in February after renovation and expansion work. The other area, plus 15%, which mainly includes the Middle East, pursues its momentum.

Moving on now to the mÃ©tier or the division breakdown at constant exchange rate. Leather Goods and Saddlery post great performance with plus 13%, in line with its annual trajectory, supported by strong demand for iconic products and new collections. The new equestrian-inspired models, Tablier Sellier and Besace Trotting as well as the return of the iconic Plume are enjoying great success. The increase in production capacities continues with the opening of the 24th leather goods workshop in L'Isle-d'Espagnac in the Charente region in September. Over the next 3 years, three additional leather goods workshop will open: Loupes in 2026, Charleville-MÃ©ziÃ¨res in 2027 and Colombelles in 2028. They will be reinforcing the 10 centers of expertise located across the national territory.

The Ready-to-wear and Accessories sector posts a strong growth at plus 6%, continues on its strong momentum with speed up in Q3. The Men's spring-summer 2026 show held at the Palais dâ€™IÃ©na was very well received. And in September, we presented the autumn-winter 2025 collection. And the women's spring-summer 2026 collection was successfully unveiled in early October at the Garde RÃ©publicaine.

Silk and Textiles, plus 4%, good growth supported by bold creations, exceptional materials and diversity of formats. Perfume and Beauty is at minus 5%. It's impacted by a high comparison base due to last year's launch of BarÃ©nia. The Perfume collections have enhanced with two new Eaux de parfum intense this year, Terre d'HermÃ¨s and BarÃ©nia.

In a challenging environment, the Watches mÃ©tier continues its development with the success of the new versions of the HermÃ¨s H08 line and the reinterpretation of its iconic complication, Le temps suspendu. In July, HermÃ¨s also announced plans to strengthen its production capacity with the expansion of its Noirmont watchmaking site by 2028.

The Other HermÃ¨s Sectors, Jewellery and Home universe continued to deliver strong growth at plus 11%. The eighth Haute Bijouterie collection, Les formes de la couleur, was presented in July in Tokyo. And at the end of May, HermÃ¨s also announced the first stone being laid down for the new Couzeix workshop dedicated to Tableware.

Thank you very much. Now we're happy to take your questions.

Operator

[Operator Instructions] We have Charles-Louis Scotti from Kepler Cheuvreux.

Charles-Louis Scotti *Kepler Cheuvreux*

I've got two questions. First of all, could you give us an update on trading and an outlook on Q4 because the organic revenue has increased by EUR 350 million, in line with Q2? Do you think that you can keep that pace in spite of a comparison basis, which will be more complicated for Q4? Could you tell us a bit more about your confidence going forward, especially for Greater China? And then on the leather goods growth, it has slowed down, although it's still in keeping with annual target. Have you built up any stocks in Q3 to support growth in Q4, where the comparison basis will be particularly tough for leather goods?

Unknown Executive

Well, thank you very much, Charles-Louis. Well, look, as you say, Q4 will be a higher comparison basis. We are, yes, something like EUR 200 million more than in Q3. The trends at early October means that we are confident in spite of this comparison basis. Yes, we're confident across all the regions. Leather goods at plus 13%. That's in keeping with our annual target. And I'll also recall that our deliveries is not linear for our different stores. So it's really delivery effects. And our stocks have been rebuilt and will be at a similar level to that same time last year to prepare for the end of the year and for the Chinese New Year.

Operator

Next question from Anne-Laure Bismuth from HSBC.

Anne-Laure Jamain *HSBC Global Investment Research*

Two questions on my side. First of all, on the specifics, bar Japan, we've seen a slight increase in the percentage. Is that down to China, mainly? And how do you explain this slight improvement when some of your peers have seen a better improvement in Q3? Is there still less footfall in the stores in China? And second question, have you completed your price increases for next year? And can you tell us more on that?

Unknown Executive

Okay. So for Asia Pacific, for South Asia, we have seen a speed up in growth. We're looking at double-digit growth in Malaysia, Korea, Australia, and similar growth between Q3, Q4 for Singapore and Thailand. For Greater China now, I'd just like to remind you that we grew over the whole year in 2024. And there, again, this year, we are posting growth since the beginning of the year up until the end of September. So there will be no huge changes in that trend. We continue with our value strategy. There is a slight improvement in Q3 this year compared to Q2.

There are two encouraging signs, which make us optimistic from a macroeconomic point of view. First of all, there is more stability in real estate in Tier 1 cities in China. So that's a positive signal. And secondly, we have another reason to be optimistic. It's the pickup of the financial markets in Continental China and Hong Kong, which is also, yes, a good sign.

And for the first week of October, which was the Golden Week in Continental China, we saw quite strong and dynamic business. We can't extrapolate this for the whole quarter, but nonetheless, it is encouraging.

Regarding, Anne-Laure, your second question on price increases, we have our budget process, which is underway. So it's too early to give you any indication on that. I can only tell you that it will be below the price increase of this year. That's the only indication I can tell you right now that the budget is still under discussion.

Operator

Next question, Luca Solca from Bernstein.

Luca Solca *Bernstein Institutional Services*

My question is on the demand trends for the different segments of your client base. You can see that the most affluent parts of your client base is very dynamic at the moment. I was wondering if this is a trend that will continue in the future. Is it going to also drive demand in China? It seems that wealthy and affluent people are also going to be a key driver there. And then could you give us a little bit more detail on the demand dynamics that you currently see in the U.S.? Is it a demand that is very broad that encompasses the whole customer base? Or is it driven by the more wealthy individuals, given the cryptocurrency market trends at the moment?

Unknown Executive

Well, first of all, for our Chinese client base. Outside of Greater China, we haven't seen a speed up particularly for wealthy individuals. So the two client bases that we believe are more important -- the most important in Europe and France, it's people from the U.S. and the Middle East who travel over. And we saw it in Q3, a slight uptick when the events between Israel and Qatar were the -- probably the tensions were at its highest. But yes, we've gone back to normal levels since then.

Now as you've seen Silk, which is a volume-driven division and clothing and fashion accessories that has sped up a little bit. And we've seen these divisions benefit from a slightly higher footfall, including in the U.S.

And now, Luca, your second question. So we had very good Q3 in the U.S. growth that was driven by jewelry, silk, shoes, watches, by pretty much all of the divisions, an increased footfall and also a growth that is well distributed between the East and the West Coast. Over and beyond the U.S., Mexico and Brazil also have sped up their growth. And also a reminder, the U.S. is a country where we'll be focusing our development. And in October, we opened a store in Nashville, Tennessee. And so we're going to continue to focus the development of our network in the U.S.

Operator

Next question, Thomas Chauvet from Citi.

Thomas Chauvet *Citigroup Inc.*

Two questions. Question number one on Ready-to-wear and Accessories. Grace Wales Bonner was appointed yesterday to follow up from her predecessor. A lot has been said, but is it going to mean a more modern, more casual look to the men's ready-to-wear collection? And how much does the menswear weigh in the total revenue?

And second question on Perfume and Beauty, which was at about 3% of the revenue. It's about, what, EUR 500 million over the whole year. This is a business which is more and more strategic for other players in the luxury industry. What is the weight of makeup 5 years after its launch? And are you thinking about floating a new line of care products? Are you happy with the profitability of this venture into makeup? And tell us a bit more about the vertical integration for perfumes.

Unknown Executive

So regarding the appointment of Grace, it really is in keeping with our desire to continue on the momentum. I think that Grace has got a lot of things in common with VÃ©ronique Nichanian, her love of craftsmanship, for example, and her very contemporary outlook on fashion. So she will be bringing her own signature to a new chapter for men's ready-to-wear, and her first collection will be presented in January 2027.

Regarding perfumes now. So as you've seen a slight decrease in Q3. Now in the press release, we said that it was down to the high comparison point with the launch of BarÃ©nia in Q3 and Q4 last year. And there's also a new HermÃ¨s stores that was launched and the new chapter for Loupes, which opened last year. And some of our distributors also had to reduce their stocks in Europe and in the U.S. So there's a decorrelation between our delivery and the end sales to customers. And the end sales continue to increase in France, Germany, Italy, et cetera. The takeaway here is that our pillars, BarÃ©nia and Terre d'HermÃ¨s continue to grow.

And then for your final point on care products, this is a project that we're still working on, but for 2028 onwards.

Operator

Next question from Mr. Antoine Belge from BNP Paribas Exane.

Antoine Belge *BNP Paribas*

Two questions on my side. First of all, for clothing and accessories, it's a category that is, well, a two-pronged categories with different dynamics. You mentioned at Q2 that some accessories like belts, for example, were bought by tourists and that because there was less tourism, it explained the drop. So could you tell us a bit more detail on Q3 for clothes on one side and accessories on the other?

Second question now on your operational margin rate for this year. Do you think that you'll be around 40% or above? Is that still achievable? You talked about the negative exchange rate on the revenue for Q3? I imagine it will be the same for Q4. Generally when you're impacted on the revenue in 2025, you'll be maybe also impacted going forward. So if you could tell us more on that?

And then the third question, there was some controversy on Cucinelli and on some sales in Russia. So could you maybe tell us what you do or don't do in Russia and with the Russian client base?

Unknown Executive

Now clothes and accessories indeed covers men's ready-to-wear, women's ready-to-wear and fashion accessories. Growth is driven by ready-to-wear for both men and women. And for the rest, it's a bit more complicated for fashion accessories. It's a division that is very much about volume.

Now regarding our operational margin, I'd just like to remind you, you've seen it over the years, the profitability in Q2 is always lower to Q1 simply because we speed up our investments during the year. This year, we've got an exchange rate impact, which is quite homogenous. But we have also made some gains on our hedging, but there's been the depreciation of euro. We're going to speed up also our communication investments in Q2.

And for recruitment, we're also very conservative at the beginning of the year. We always wait for the general trend to crystallize before we can start recruiting. So yes, recruiting would also be a bit faster from now on. So yes, that's the different elements to bear in mind, the different elements that are there to support the growth of the group. And then just a final point on our IS, our Information System. We invest for the future, although it's booked as an expenditure. But yes, we are preparing for the future as well.

Regarding sales in Russia, well, we are one of the first groups to have pulled out of Russia and closed our stores after the beginning of the war. All of our stores are closed since the war started. We've kept the stores, but we are now exiting the leases so that we only keep one store in Stoleshnikov just to host the couple of people who are in charge of legal obligations and maintenance. But we have no business in Russia anymore.

Operator

[Operator Instructions] Next question from Edouard Aubin from Morgan Stanley.

Edouard Aubin *Morgan Stanley*

Two questions. For the store openings, Eric, we've seen the trends over the last 2 years. The total number of stores is pretty much the same or even a tiny bit lower, but with a bigger average size for the stores. In 2025 and 2026, are we going to be seeing the same trend? And could you maybe tell us even a vague idea of the percentage increase in square meters?

Secondly, I imagine that for leather goods, you're looking at capacity over the next few years. And in light of that, the 6% to 7% growth that you've enjoyed over the last few years in leather goods, is it going to be the same for 2026, 2027? So do you think that you keep that rhythm of plus 6%, plus 7% over the next 2 years?

Eric du Halgouët *Executive VP of Finance*

Okay. So regarding the development of the network, Edouard, you've summed up very nicely the strategy of the group. We move to larger stores, stores that are generally more than 500 square meters. Now for 2026, we have two large projects, which are going to be completed. First of all, we've got the renovation and the extension of the Geneva store, which is a temporary store at the moment. And then there's another big project where we'll be opening Bond Street in London. It's a very big project, and it will be a very original store, and it will open around the summer or a bit before.

Then we have also a store that we'll be opening in China, a market that we invest quite a lot on and in the U.S. But this year and next year, we always have three to four opening of stores and about 15 projects of renovation and expansion.

Regarding leather goods capacity at plus 6%, plus 7%, well, we are going to be in line with that for next year with the opening of a new leather workshop, but also with the extension of some older sites that have reached maximum capacity, but we keep to our rule of having sites with 300 people maximum, 250 of which are craft people. So yes in 2026, we're going to continue with our capacity increase around plus 6%, plus 7%.

Operator

Next question from David Da Maia from CIC.

David Da Maia *CIC CIB*

A quick follow-up question on China. You mentioned a slight improvement in Q3. And I'd like to know whether that is attributable to an increase in footfall as you highlighted for the U.S., for instance? Or is it your value strategy that is paying dividends in China? It's not so much down to footfall or value strategy?

Unknown Executive

Well, actually, it's a little bit of both. There is a slight increase in footfall, and our value strategy is also paying dividends. Our value strategy aims at selling products of higher values. So for jewelry, for example, we sell larger items. Likewise, also for watches. We sell more items with complications. So it's the combination of both, which explains this improvement, which speaks to this good improvement in early October. But you need to, of course, remain humble and conservative, but there are some positive signals in China with the financial markets that is recovering. And also the real estate in Tier 1 cities in China, which is stabilizing.

Operator

We have no further questions for the moment, it would seem.

Unknown Executive

Well, in that case, we'll be closing this conference. Do not hesitate if you have further questions. Thank you very much, and see you soon.

Operator

Ladies and gentlemen, the conference is now over. Thank you very much for taking part. You can now sign out. Thank you very much.

[Statements in English on this transcript were spoken by an interpreter present on the live call.]

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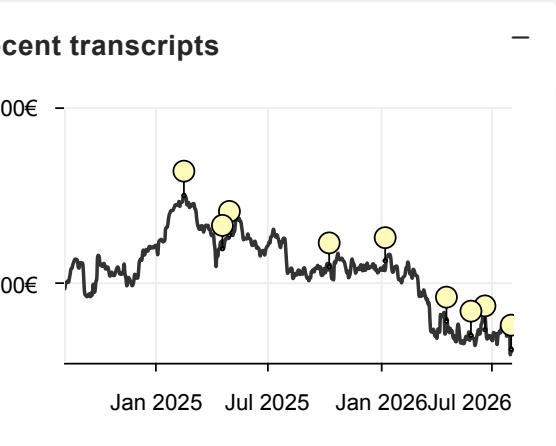

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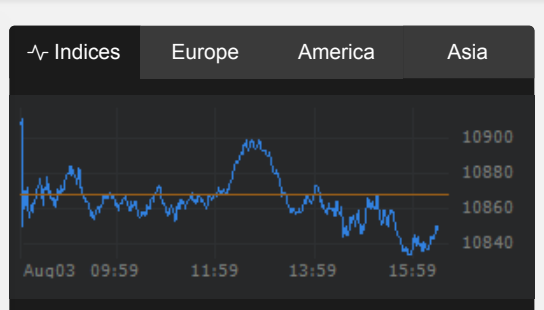

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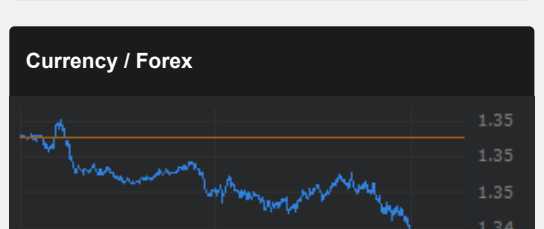

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GBP / EUR	1.1664	-0.15%
GBP / CHF	1.0890	+0.07%
GBP / RUB	107.6120	+0.16%
GBP / SEK	12.8339	+0.13%
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GBP / CAD	1.8855	-0.26%
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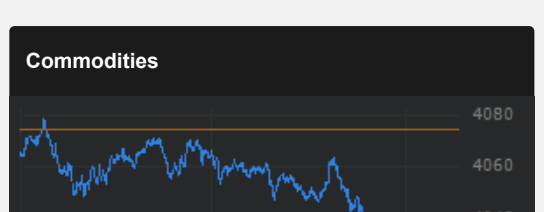

GOLD	4,033.98	-1.00%
CRUDE OIL (WTI)	80.00	-0.83%
CRUDE OIL (BRENT)	83.94	+0.18%
SILVER	57.57	-1.25%
PLATINUM	1,617.17	-2.58%

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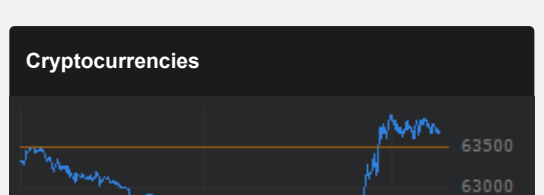

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ETHEREUM	1,863.69	-1.03%
SOLANA (SOL/USD)	73.32	-0.31%
BINANCE COIN	591.68	+0.66%
RIPPLE	1.08	-0.61%

Cryptocurrencies

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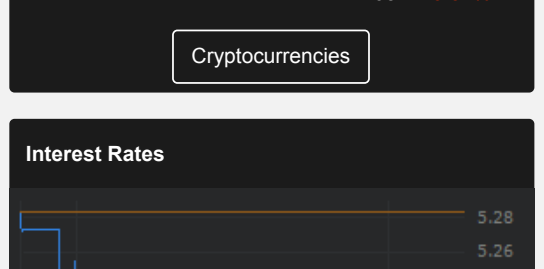

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🇺🇸 US 10Y CASH	4.69	-0.01
🇩🇪 GERMANY 10Y CASH	3.15	-0.05
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